MSG Knickerbockers Standalone DCF

Post-Rangers-spin valuation of the New York Knicks and Westchester Knicks | Valuation date: October 9, 2026

$916.4mm	$838.7mm	$34.64	9.1% / 2.5%
Enterprise value	Equity value	Implied value per share	WACC / terminal growth

Valuation conclusion. The normalized base case produces $916.4 million of enterprise value and $838.7 million of equity value, or $34.64 per diluted share. The range is wide: $2.57 in a no-playoff downside and $128.42 in an eight-home-game upside. That spread is not a recommendation. It shows how a single-team sports company concentrates value in postseason inventory, premium commercial demand, and media-rights economics.

Three sports-business value drivers

1. **Playoff inventory.** Four annual home playoff games contribute about $41 million of FY2027 event revenue in the base case. At $10 million per home game, moving from zero to ten games increases modeled value from $24.10 to $50.45 per share, holding other base assumptions constant.

2. **Sponsorship and premium hospitality.** Sponsorship, signage, and suite revenue grows 5.0% annually in the base case, reaching $184.0 million by FY2031 as brand demand and premium inventory compound.

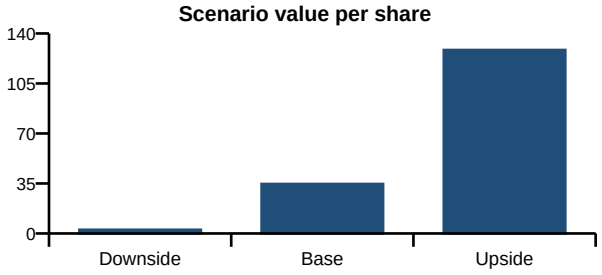
3. **Media rights.** National and local media-rights revenue grows 2.5% annually with no base-case FY2030 renewal step. A negative local-rights reset is a direct valuation risk because the Knicks residual starts from $234.0 million of FY2026 media revenue.

Three principal risks

No-playoff season. Zero home playoff games removes both playoff revenue and playoff expense. The downside remains cash-flow positive, but the terminal value falls sharply.

Cost and allocation risk. Player compensation, luxury tax, revenue sharing, arena costs, and corporate allocations can outpace revenue. Rangers carve-out history includes allocated costs that may not equal future standalone economics.

Terminal-value concentration. Roughly 80% of base enterprise value comes from the terminal value. Higher WACC lowers value and higher terminal growth raises it, as expected, but both assumptions materially affect the result.



Methodology and forecast

The model subtracts Rangers carve-out results from audited MSG Sports FY2024-FY2026 financials to derive the Knicks residual. FY2026 is normalized so the championship run is not treated as recurring. FY2027-FY2031 unlevered free cash flow equals EBIT x (1 - tax rate) + D&A - capital spending - change in working capital. Forecast cash flows and a Gordon Growth terminal value are discounted at the formula-derived WACC.

Base revenue grows from $722.4 million in FY2027 to $821.4 million in FY2031. EBIT margin expands from 4.5% to 12.1%, and unlevered free cash flow increases from $25.6 million to $73.4 million. A 4.17x peer EV/revenue cross-check implies $121.21 per share but is not the primary valuation method.

Primary sources: MSG Sports FY2026 Form 10-K; Rangers October 2026 Form 10 information statement; U.S. Treasury 10-year yield; Damodaran implied equity risk premium. Public-company cross-checks: Manchester United and Atlanta Braves Holdings. All figures shown are rounded from the verified workbook. Educational corporate-finance project only. No investment recommendation, trading signal, private information, or unsupported franchise valuation claim.